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As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- AI-powered technology in seniors housing continues to impress during tours but has shown weaker real-world impact. In some markets, families and residents even view monitoring tools as intrusive. A recurring theme is that providers collect meaningful data from systems such as fall-detection platforms and staffing optimization software but rarely act on it in ways that drive measurable operational improvement.
- Providers in lower-income markets are shifting toward higher-acuity operating models, focusing on residents with greater care needs. The shorter lengths of stay these residents offer, make spend-down periods of 9 to 12 months less of a concern for operators.
- As the economy remains strong, studio and smaller one-bedroom Independent Living units are experiencing slower lease-up. This appears to reflect broader financial confidence, with residents increasingly willing and able to choose larger units when market conditions are favorable.
- Hospice houses are being developed more frequently across the country. These specialized communities serve end-of-life residents, typically during their final 24 to 72 hours. Hospitals value having a dedicated setting to discharge to that doesn't affect their inpatient mortality metrics while Assisted Living and Skilled Nursing operators avoid managing end-of-life care within their communities.
- Rising construction costs are pushing developers to analyze their portfolio for expansion opportunities rather than pursuing new ground-up developments. By leveraging common areas already in place, operators can add net resident units at a lower cost basis.
- Third-party management companies continue rolling clients into group insurance policies, workers' compensation plans, and group purchasing organizations. Some owners have found that that these arrangements can create complications when unwinding management contracts.
- To improve staffing efficiency, certain ownership groups are implementing point-based systems tied to resident acuity assessments. When cumulative points reach a defined threshold, administrators and department heads are granted authority to hire additional caretakers.
- Skilled Nursing operators are increasingly exercising purchase options on their facilities, as replacement-cost pricing makes new development financially unsustainable.
- Some buyers pursuing turnaround communities are requesting the ability to place their leadership in Executive Director roles prior to closing and after earnest money becomes non-refundable. This allows them to proactively assess operations and control expense leakage before inheriting the financial liability.
- A handful of third-party management companies are shifting fee structures toward per-bed pricing rather than flat revenue-based percentages, particularly for smaller communities.
- As resident acuity continues to evolve, pre-leasing timelines are also changing for newly constructed projects. Assisted Living operators are typically beginning pre-lease marketing roughly two months before opening, Memory Care projects are often opening with little to no pre-lease marketing, and Independent Living communities target lease-up efforts approximately one year prior to opening.
- Budgets at senior communities are increasingly being allocated for non-ED department heads and lower-level employees to attend state healthcare conferences. Providers have found that this supports employee retention and helps keep staff engaged and invested in their roles.

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